

<u>Year</u>	<u>Cash Flow</u>	<u>Discounted Cash Flows</u>
0	-\$2,000	-\$2,000
1	\$375	\$341
2	\$375	\$310
3	\$375	\$282
4	\$375	\$256
5	\$375	\$233
6	\$375	\$212
7	\$375	\$192
8	\$375	\$175
9	\$375	\$159
10	\$375	\$145
Total = NPV		\$304

Question 1

Calculate the Net Present Value assuming a required return of 10%

Question 2

Calculate the Profitability Index assuming a required return of 10%

<u>Year</u>	<u>Cash Flow</u>	<u>Discounted Cash Flows</u>
0	-\$2,000	-\$2,000
1	\$375	\$341
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3	\$375	\$282
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10	\$375	\$145

Present Value of Cash Inflows	\$2,304
Present Value of Cash Outflows	\$2,000
Profitability Index	1.15